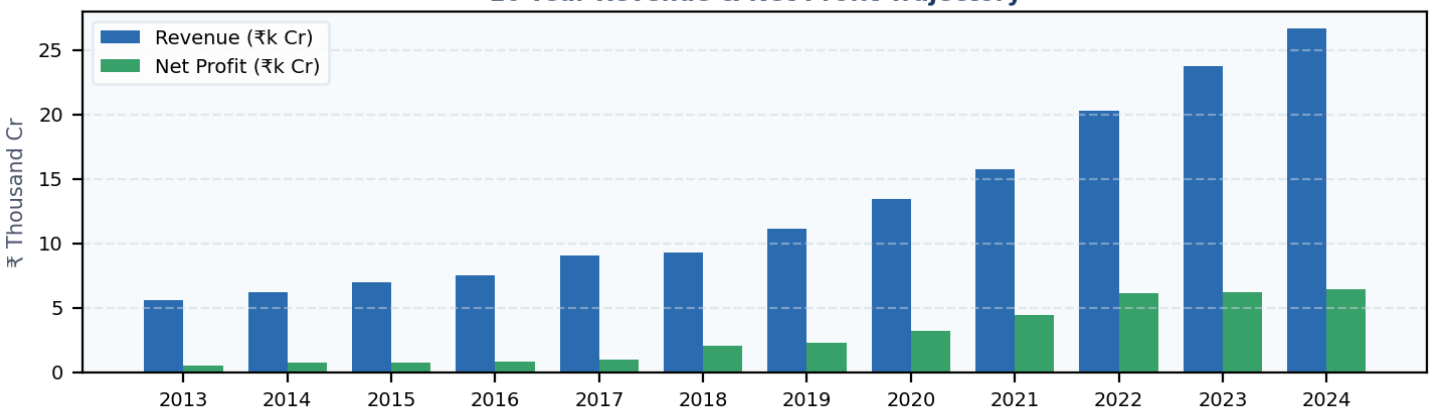
Indian Railway Finance Corporation Ltd (IRFC)

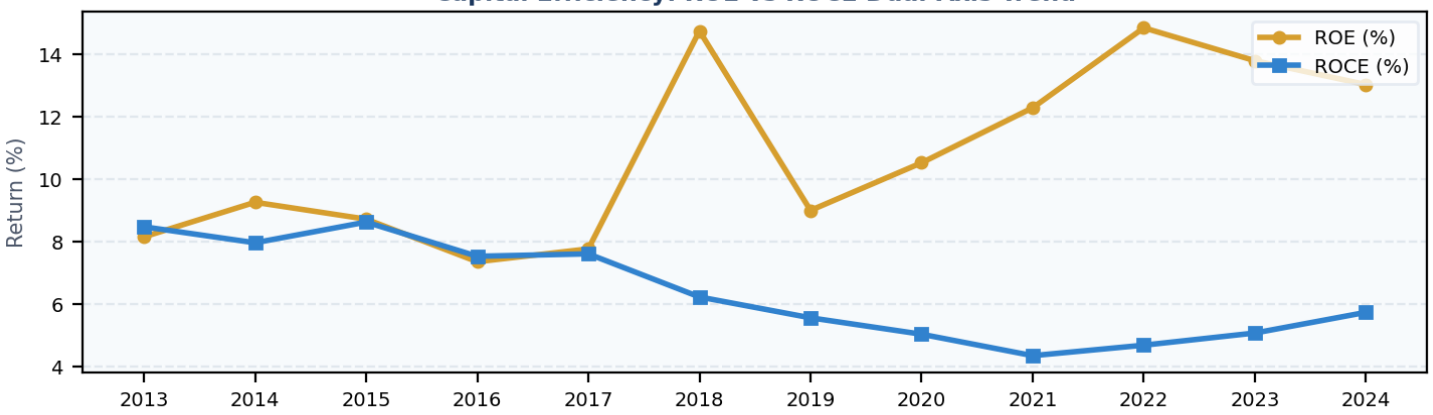
Sector: **Financials** | Sub-Sector: **Speciality Finance** | Nifty 100

MARKET CAP	P/E RATIO	RETURN ON EQUITY
■2,618,349 Cr	9.8x	13.0%
ROCE	**DEBT TO EQUITY**	**5Y REVENUE CAGR**
5.7%	8.38x	19.1%

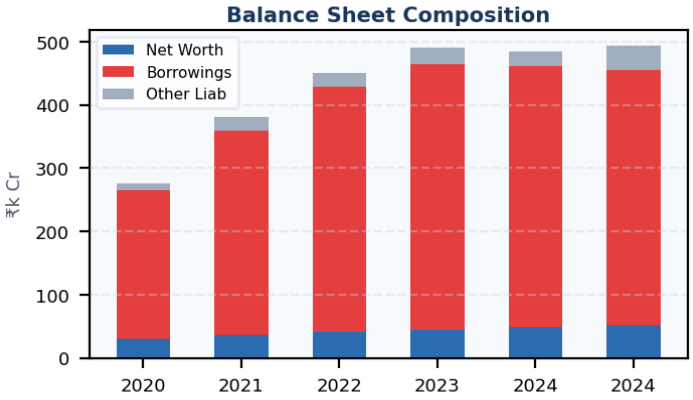
10-Year Revenue & Net Profit Trajectory

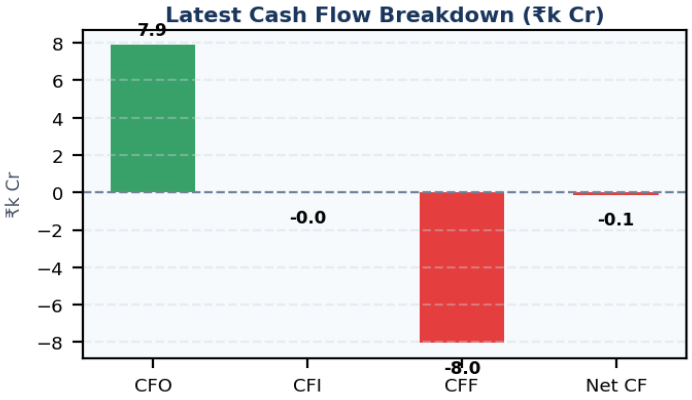


Capital Efficiency: ROE vs ROCE Dual-Axis Trend



Capital Allocation Pattern: Reinvestor / Debt Repayer





Key Strengths & Growth Drivers (Pros)

- **[+]** Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- **[+]** Operating profit margin above 25% indicates strong pricing power and cost discipline
- **[+]** Net profit compounding at above 20% over 5 years creates significant shareholder value

Risk Factors & Key Concerns (Cons)

- **[-]** Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- **[-]** Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital